

Business remains strong & steady

Axis Bank reported its Q3FY22 performance which beat our estimates on the profitability front mainly due to lower provisions (net credit Cost stood at 0.44% vs 3.02% YoY/ 0.54% QoQ), stable margin (NIM at 3.53% vs 3.59% YoY/3.39% QoQ) and healthy loan growth (16.7% YoY/6.9% QoQ).

- **NII came in at INR 86.53 Bn**, +9.5% QoQ / +17.4% YoY and 4% above our est.
- **Other Income came in at INR 38.40 Bn**, +1.1% QoQ / +31.1% YoY and 7% below our est.
- **PPOP came in at INR 61.62 Bn**, +3.9% QoQ / +17.4% YoY and 7% below our est.
- **Provisions came in at INR 13.35 Bn**, -23.1% QoQ / -64.5% YoY and 43% below our est.
- **PAT came in at INR 36.14 Bn**, +15.3% QoQ / +224% YoY and 13% above our est.
- **EPS stood at INR 11.8 vs INR 10.2 / INR 3.7 in Q2FY22 / Q3FY21 respectively.**

Financial Highlights

- Bank's asset quality improved during the quarter, with GNPA's sequentially down by 36 bps at 3.17% and NNPA's down by 17 bps to 0.91%. During the quarter, the bank is able to contain slippages at Rs 41.47 Bn (2.5% of advances) vs Rs 54.64 Bn (3.5% of advances) QoQ.
- Bank maintained a strong PCR ratio of 72% and cumulative provisions (standard + additional other than NPA) of Rs 134.04 Bn, which translate to a standard asset coverage of 2.03% as on Dec 31, 2021.
- Covid-19 restructuring implemented loans at 0.63% of GCA, amongst the lowest in the industry. Bank carries a provision of ~ 24% on restructured loans, which is in excess of regulatory limits
- Bank's advances stood at Rs 6649 Bn (16.7% YoY/6.9% QoQ), mainly led by retail segment up by 18% YoY & 6% QoQ and SME up 20% YOY & 9% QoQ. Retail segment, which accounted for 55% of advances, is ~ 80% secured, while SME book is ~96% secured with mainly working capital financing, & is well diversified across geographies and sectors. Corporate segment showed good growth (13% YoY & 7%QoQ). 87% of corporate book is now rated A- & above with 92% of incremental sanctions in Q3FY22 being to corporates rated A- & above.

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21	FY22E	FY23E
NII	252	292	324	389
Adjusted net profit	16	66	128	161
Networth	849	1016	1137	1290
Adj BVPS	268	309	347	395
EPS (Rs)	6	22	42	52
P/ABV (x)	2.6	2.3	2.0	1.8
P/E (x)	122	33	17	13
RoA (%)	0.2	0.7	1.2	1.4
RoE (%)	2.1	7.1	11.9	13.3

Source: Dalal & Broacha Research, Company

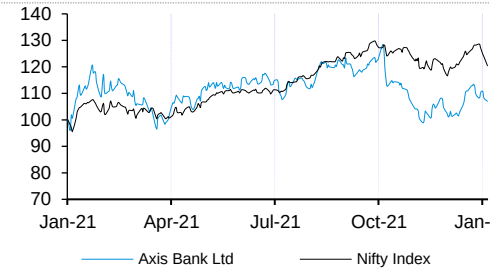


Rating	TP (Rs)	Up/Dn (%)
BUY	832	18

Market data

Current price	Rs	705
Market Cap (Rs.Bn)	(Rs Bn)	2,162
Market Cap (US\$ Mn)	(US\$ Mn)	29,042
Face Value	Rs	2
52 Weeks High/Low	Rs	881.45 / 615
Average Daily Volume	('000)	10,836
BSE Code		532215
Bloomberg		AXSB.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	9.7	11.6
Public	90.3	88.4
Total	100.0	100.0

Source: BSE

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- On the liability side, deposits grew by 18% YoY/4.8% QoQ in Q3FY22 led by CASA growth of 22% YoY/5.3% QoQ taking CASA ratio at 44.7% (Vs 44.5% QoQ / 43.2% YoY). The improving liability franchise has resulted in cost of deposits declining by 49 bps YoY and 9 bps QoQ. Bank has added 2.15 Mn new liability relationships during Q3FY22.
- Operational efficiency deteriorated, with cost to income ratio stood at 50.7% (+135 bps QoQ), backed by lower net income (NII + other income) growth of 1.1% QoQ vs opex growth of 9.7% QoQ in Q3FY22. Bank has made significant investments in technology, digital and multiple business transformation initiatives, which meant a near term rise in costs, but has set the bank on the right trajectory to deliver grater RoE and ROA.
- Bank's capital adequacy ratio stood at 18.72% (vs 20.04% QoQ), of which Tier I capital was 16.46% (vs 17.54% QoQ) and Tier II capital was 2.26% (vs 2.5% QoQ)

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Valuation and outlook

Axis Bank's Q3FY22 performance was supported by pick-up in loan growth, stable margin and lower credit cost. Bank's asset quality improved during the quarter, supported by lower slippages and steady recoveries & upgrades. With capital adequacy (Tier I 16.5%) and a healthy provisioning buffer (standard asset coverage of 2.03%), Axis Bank is well positioned to navigate any sudden spikes in slippages. Besides, improved underwriting and an increasing retail mix will help the bank in maintaining strong control on credit cost in the near to medium term. Going forward, the bank's earnings trajectory is likely to improve as credit costs normalise and growth gathers pace. At CMP the stock trades at 2.0x its FY22E ABV and 1.8x its FY23E ABV. We have assigned a 'BUY' rating to Axis Bank with a price target of Rs 832, valuing the core bank at 1.9x FY23 ABV and subs at Rs 81.

Highlights of the Conference Call

P&L related highlights

- NIMs stood at 3.53%, up by 14 bps QoQ and declining 6 bps YoY. The same quarter last year the bank had interest on income tax refund aggregating Rs 1.53 Bn contributing 8 bps to NIM, adjusted for this the YoY margin grew 2 bps. The improving liability franchise has resulted in cost of deposits declining by 49 bps YOY and 9 bps QOQ.
- Going forward, improvement in NIMs over the medium term will be driven by balance sheet mix shift from investments to loans and within loans the currency / segmental / product composition towards better-yielding assets; continued improvement in low-cost deposit base, and reduced share of low-yielding RIDF bonds (~ at 3.8% of assets).
- ~92% of the bank's fee income is granular, with ~65% come from retail business and balance from wholesale franchise.
- Operating expenses to average assets stood at 2.15% up by 19 bps YoY and 3 bps QoQ. The YoY increase in crore operating expenses can be broadly bucketed to (i) ~ 24% is volume linked; (ii) ~ 41% is attributable to investing for future growth of the franchise & technology; (iii) ~ 21% is attributable to collections expenses, covid expenses and statutory expenses and the balance 14% is BAU expense growth

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Asset quality

- Gross loan slippage ratio for the quarter stood at 2.08%, improving 304 bps YoY and 131 bps QoQ.
- In addition to loan slippages, Bank classified Rs 8.12 Bn of pass-through certificates rated AAA as at Dec 31, 2021 as NPI. Bank do not expect any loss on these pools and 21% of outstanding will be repaid by the end of FY22, 58% will be paid in FY23 and 21% in FY24. Provisions in the quarter against this slippage aggregates to Rs 2.03 Bn and translates to 11 bps to credit cost.
- Covid-19 restructuring implemented loans at 0.63% of GCA, amongst the lowest in the industry. Bank carries a provision of ~ 24% on restructured loans, which is more than regulatory limits

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Covid-19 restructuring implemented loans at 0.63% of GCA, amongst the lowest in the industry.

Tech transformation and Digital Banking

- 7.8-8.0% of overall operating cost is tech/digital spend
- 1500+ Tech and Digital employees are working on 30+ initiatives that are transforming the core and building future ready capabilities. Bank now go-live with 25+ new tech or digital capabilities every quarter on the back of this initiative.
- In consumer loans, digital lending grew 33% QOQ. It contributes upwards of 52% to key product lines such as Personal loans.
- Digital investment and wealth journeys continued to see strong growth with digital MFs in 9MFY22 growing nearly 2x YOY
- Bank has ~ 5.4 million non-Axis Bank customers using Axis mobile and Axis Pay apps

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Advances & Disbursements

Wholesale banking loans

- 87% of the corporate book is now rated A- & above with 92% of incremental sanctions in Q3FY22 being to corporates rated A- & above.
- Corporate loan book grew 13% YoY and 7% QoQ. The growth is spread across different sectors, driven primarily by organised retail, engineering, petrochemical, industrials, real estate etc.
- The offshore asset book grew by 44% YoY, which is primarily driven by GIFT city branch exposures. 94% of the overseas standard corporate loan book is India linked and 91% is rated A and above.

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Retail loans

- Retail disbursements grew 37% YoY and 19% QoQ.
- ~ 80% of the retail book being secured
- The book grew 18% led by Home loans (20% YoY), LAP (28% YoY) and SBB (51% YoY)
- Disbursements to personal loans grew by 39% YoY and 15% QoQ

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Credit Cards & Payments

- Bank has added ~ 0.77 Mn credit cards during Q3FY22, which is the highest ever for any quarter and up by 174% YoY and 40% QoQ.
- 40% of credit cards were acquired through Known to Bank partnerships across Flipkart, Google Pay, Freecharge and others, up from 21% in FY21 and 6% in FY20.
- Bank has 1.72 Mn Flipkart Axis Bank Credit Cards in force, making it one of the fastest growing co-branded portfolios since its launch in July 2019.
- The credit card spends in Q3FY22 were up 52% YOY and 22% QOQ, faster than industry and now trending well above pre-covid levels. The card advances were up 10% QOQ.
- Bank is now the second-largest merchant-acquiring bank in the country with an installed capacity of 8.42 lakh terminals.

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Future guidance

- NIM of Q4 FY22 would be better than H1 FY22 levels and be in the 3.45% to 3.50% range.
- Bank will continue to invest in the franchise and expect to exit FY22 at the 2.20% cost to assets.
- Bank also stay committed to its 2% cost to assets target and believe it will fall back to that level of an exit basis in FY 23.

NIM of Q4 FY22 would be better than H1 FY22 levels and be in the 3.45% to 3.50% range.

Financials

<i>P&L (Rs Bn)</i>	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
Interest Earned	154.3	155.5	160.0	163.4	172.6	11.9%	5.7%
Interest Expended	80.5	79.9	82.4	84.4	86.1	6.9%	2.0%
NII	73.7	75.5	77.6	79.0	86.5	17.4%	9.5%
Other Income	29.3	46.7	33.6	38.0	38.4	31.1%	1.1%
Net Income	103.0	122.2	111.2	117.0	124.9	21.3%	6.8%
Opex	50.5	53.6	49.3	57.7	63.3	25.3%	9.7%
PPOP	52.5	68.6	61.9	59.3	61.6	17.4%	3.9%
Provisions	37.6	32.9	33.0	17.4	13.3	-64.5%	-23.1%
PBT	14.9	35.7	28.8	41.9	48.3	224%	15%
Tax	3.7	8.9	7.2	10.6	12.1	224%	14%
PAT	11.2	26.8	21.6	31.3	36.1	223.7%	15.3%
<i>BS (Rs Bn)</i>	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
Networth	988	1016	1039	1072	1109	12.2%	3.5%
Deposits	6412	6980	7139	7363	7717	20.3%	4.8%
Borrowings	1357	1429	1509	1587	1789	31.9%	12.7%
Other Liabilities	494	443	434	486	516	4.5%	6.3%
Total Liabilities	9251	9868	10120	10507	11131	20.3%	5.9%
Cash & Bank	727	617	730	970	1020	40.4%	5.2%
Investments	1983	2261	2399	2498	2664	34.3%	6.6%
Advances	5698	6144	6149	6217	6649	16.7%	6.9%
Other Assets	843	845	843	822	797	-5.4%	-3.0%
Total Assets	9251	9868	10120	10507	11131	20.3%	5.9%
<i>Ratios (%)</i>	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
GNPA	3.44	3.70	3.85	3.53	3.17	-27 bps	-36 bps
NNPA	0.74	1.05	1.20	1.08	0.91	17 bps	-17 bps
PCR	79.0	72.4	69.8	70.2	72.0	-700 bps	186 bps
CASA	44.0	45.5	43.1	44.5	44.7	65 bps	20 bps
Cost /Income	49.1	43.8	44.4	49.3	50.7	163 bps	135 bps

Source: Dalal & Broacha Research, Company

Exhibit 1:

Profit & Loss Account				
Rs in Bn	FY20	FY21	FY22	FY23
Interest Earned	626	636	713	855
Interest expended	374	344	389	472
NII	252	292	324	383
Other Income	155	148	169	197
Net Income	407	441	494	579
Operating Exp	173	184	218	253
PPOP	234	257	276	327
Provisions	185	169	108	113
PBT	49	88	168	214
Tax	33	22	42	54
PAT	16	66	125	160

Source: Dalal & Broacha Research, Company

Exhibit 2:

Balance Sheet				
Rs in Bn	FY20	FY21	FY22	FY23
CAPITAL & LIABILITIES				
Capital	6	6	6	6
Reserves & Surplus	844	1010	1131	1284
Deposits	6401	7073	8190	9531
Borrowings	1480	1429	1312	1342
Other Liabilities	422	443	432	441
TOTAL	9152	9961	11070	12604
ASSETS				
Cash & Balances	973	617	626	527
Investments	1567	2261	2507	2770
Advances	5714	6237	7121	8423
Fixed Assets	43	42	47	53
Other Assets	854	803	769	830
TOTAL	9152	9961	11070	12604

Source: Dalal & Broacha Research, Company

Exhibit 3:

Ratios (%)	FY20	FY21	FY22	FY23
Growth				
NII	16.1	16.0	10.9	19.8
PPOP	23.3	9.7	1.8	21.7
Net profit	-65	305	93.8	26.1
Deposits	16.7	10.5	15.8	16.4
Advances	15.5	9.2	14.2	18.3
Returns				
ROA	0.2	0.7	1.2	1.4
ROE	2.1	7.1	11.9	13.3
Efficiency				
C/I Ratio	42.5	41.7	46.0	45.1
CASA	41.2	44.9	46.1	46.7

Source: Dalal & Broacha Research, Company

Exhibit 4:

Ratios (%)	FY20	FY21	FY22	FY23
Per Share				
BV (Rs)	301	332	371	421
ABV (Rs)	268	309	347	395
EPS (Rs)	6	22	42	52
Valuation				
P/BV (x)	2.3	2.1	1.9	1.7
P/ABV (x)	2.6	2.3	2.0	1.8
P/EPS (x)	122	33	17	13
Asset quality				
GNPA	4.9	3.7	3.4	2.9
NNPA	1.6	1.0	0.9	0.9
PCR	69	72	73	71

Source: Dalal & Broacha Research, Company

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